P04 / PAYROLL

# Record PIT and social security shares

Payroll / Entries / Mandatory deductions · Settings / Accounting / Mandatory

*Keep employee withholding, employer expense and the statutory payable traceable by person and month.*

01 **Calculate PIT in LAK**

Apply the saved progressive brackets to the employee’s taxable LAK salary. Oon Jai’s equal-sharing setting gives employee and employer the same rounded half. Preserve the original assessment and the two resulting shares in the calculation.

02 **Post the PIT liability**

Employee withholding reduces net entitlement. Debit 5211 PIT Expense for the company share only. Credit 2111 PIT Payable for both shares. A displayed USD equivalent is a reference to the same liability.

03 **Calculate SSO separately**

For participating employees, check the saved ceiling and covered base. The referenced rates are 5.5% employee and 6% employer, with a LAK 4,500,000 monthly base ceiling. Debit 5212 for the employer cost and credit 2112 for both shares.

04 **Review the period settings**

Preserve the approved brackets, rates, coverage, sharing, employee exceptions and effective dates used by the run. The payment-stage whole-kip rule is applied separately when remitting each liability.

**Equal-share example · LAK**

An assessed PIT of 87,308.21 produces two shares of 43,654.11. The journal credits PIT payable 87,308.22. Only 43,654.11 is company PIT expense.

**Before you finish**

Employee and employer PIT must agree under the 50/50 setting. Compare each SSO share to its own rate.

Source: PwC Lao PDR · Individual · Other taxes